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Module 1: Risk and Insurance

In this module, we'll start with some basics. What is life insurance? What is risk? Viewing life insurance basics through the eyes of potential insurance customers, you'll learn about:

- Risk and risk management
- Regulation of insurance
- Life insurance as a contract
- The value exchange in an insurance transaction

Lesson 1

Here you'll meet Hector Garcia, a young married man and expectant father. Follow Hector as he begins his journey into the world of insurance. In this lesson, Hector learns basic insurance terminology, how insurance companies manage risks, who's insurable, and how underwriters determine his degree of risk (mức độ rủi ro).

Section List:

- **Learning Objectives**
- **Risky Business**
- **Types of Risk**

- **Risk Management**
- **Life Insurance Terminology**
- **Insurable Risks**
- **Underwriters and Underwriting**
- **Risk Classes**
- **End of Lesson Questions**

Learning Objectives

After studying this lesson, you will be able to:

- Distinguish between speculative risk (rủi ro đầu cơ) and pure risk (rủi ro thuần túy).
- Define basic insurance terminology (thuật ngữ bảo hiểm cơ bản).
- Describe the characteristics of insurable risks.
- Explain the role of underwriters and how they assess specific risks.
- Define antiselection (lựa chọn bất lợi) and give examples of two factors that can increase or decrease the likelihood that an individual will suffer a loss.
- Identify four risk classes (hạng mức rủi ro) for proposed insureds (người được đề xuất bảo hiểm).
- Identify four risk management techniques (4 kỹ thuật quản lý rủi ro).

Risky Business

What do you think

Assume you're applying for a life insurance policy. During his presentation, the insurance agent makes the following statements. Are they all true? (Select all that apply.)

- ❑ *People buy insurance to reduce the financial risk they face, but not every type of risk is insurable.*
- ❑ *Both pure risks and speculative risks are insurable.*
- ❑ *Most life insurance policies are valued contracts (hợp đồng định giá), which state at the time of policy issue the amount of the benefit payable when the insured person dies.*
- ❑ *Most life insurance policies are issued at substandard premium rates (phí bảo hiểm dưới chuẩn).*

***Explanation**:*

1. *People buy insurance to reduce the financial risk they face, but not every type of risk is insurable. (Đúng)*

Giải thích:

- *Mọi người mua bảo hiểm để giảm bớt rủi ro tài chính.*
- *Tuy nhiên không phải rủi ro nào cũng có thể bảo hiểm (ví dụ: rủi ro đầu cơ/speculative risk không được bảo hiểm).*

2. Both pure risks and speculative risks are insurable. (Sai)

Giải thích:

- Chỉ rủi ro thuần túy (Pure Risk - 純粋危険 - Thuần Túy Nguy Hiểm) mới có thể được bảo hiểm (ví dụ: tử vong, bệnh tật).
- Rủi ro đầu cơ (Speculative Risk - 投機危険 - Đầu Cơ Nguy Hiểm) (như đầu tư cổ phiếu, cờ bạc) không được bảo hiểm.

3. Most life insurance policies are valued contracts, which state at the time of policy issue the amount of the benefit payable when the insured person dies. (Đúng)

Giải thích:

- Hầu hết các hợp đồng bảo hiểm nhân thọ là Valued Contracts (Hợp đồng định giá).
- Số tiền bồi thường (death benefit) được xác định rõ khi hợp đồng được phát hành, không phụ thuộc vào tổn thất thực tế.

4. Most life insurance policies are issued at substandard premium rates. (Sai)

Giải thích:

- Hầu hết các hợp đồng bảo hiểm được phát hành với mức phí chuẩn (Standard Premium Rate), vì đa số khách hàng thuộc nhóm rủi ro bình thường.
- Substandard Premium Rate chỉ áp dụng cho những người có rủi ro sức khỏe cao hoặc nghề nghiệp đặc biệt nguy hiểm.

Type of Risk

Learning Objective

Distinguish between speculative risk and pure risk.

What is Life Insurance?

Life insurance reduces the economic impact that occurs when someone dies. How does it do this? To understand how first we need to discuss risk.

What is Risk?

Risk is the possibility of an unexpected result. This could be a gain or a loss.

Usually, we worry about unexpected losses, but you'd probably like to see an unexpected gain, wouldn't you?

Speculative Risk vs. Pure Risk

Some risks are speculative risks that can result in a loss, gain, or no change....

...while other risks are pure risks that involve either a loss or no loss. There is no possibility of gain.

Example of Speculative and Pure Risk

Example: Carol and John Wilson are both employed full time and their family needs both of their incomes to support their standard of living. Recently, they purchased $10,000 of stock in a growing software company.

They believe that the software company will be successful and that their investment will soon be worth a lot more than $10,000.

Analysis: The Wilsons' investment in a software company is an example of speculative risk because the value of their investment may increase, remain the same, or decrease.

The possibility that one or both of the Wilsons could die leaving their family with a loss of income is an example of a pure risk because there is no possibility of a gain in that situation.

What do you think

Insurance companies won't insure all types of risks. Which risks do you think are insurable?

- ❑ *Only pure risks*
- ❑ *Only speculative risks*
- ❑ *Both pure risks and speculative risks*
- ❑ *Neither pure risks nor speculative risks*

Explanation: Only pure risks

Insurance is designed to compensate for financial loss, not to provide an opportunity for financial gain. So, only pure risks can be insured. Because speculative risks involve the possibility of gain, they are not insurable.

Risk Management

Learning Objective

Identify four risk management techniques.

Risks are a part of life. When you travel, start a business, make a purchase, or cross the street, you take a risk.

Because risks represent uncertainties, we try to manage them to eliminate or minimize our potential losses and, ideally, to maximize our gains.

Once risks have been identified and assessed, all techniques to manage the risk fall into one or more of these four major categories: avoid, control, transfer or accept.

What do you think3

How do these risk management techniques work? Select the risk management technique that matches the example.

1. Steve is nervous about losing money in the stock market, so he doesn't invest in stocks.
   - ❑ Avoiding Risk
   - ❑ Controlling Risk
   - ❑ Accepting Risk
   - ❑ Transferring Risk

Explanation: *Avoid Risk*

By not investing in the stock market, Steve avoids the risk of losing money in the stock market. While effective, this technique isn't always practical.

2. Mark uses a laptop computer in his business. If he loses the laptop or accidentally damages it, Mark will have to purchase another laptop or pay to have it repaired.
   - ❑ Avoiding Risk
   - ❑ Controlling Risk
   - ❑ Accepting Risk
   - ❑ Transferring Risk

Explanation: *Accepting Risk*

By assuming the financial responsibility for replacing a lost/damaged laptop, Mark accepts the risk. If you do not manage a risk by other means—avoiding, controlling, or transferring the risk—then you accept that risk.

3. To reduce the likelihood of fire destroying her convenience store, Rebecca installed smoke detectors and a sprinkler system.
   - ❑ Avoiding Risk
   - ❑ Controlling Risk
   - ❑ Accepting Risk
   - ❑ Transferring Risk

Explanation: *Controlling Risk*

Installing smoke detectors and sprinkler systems will help Rebecca control her risk by preventing or reducing losses from a fire.

4. Conrad purchased a disability income insurance policy to provide for his family in case he becomes sick or injured and can't work.
   - ❑ Avoiding Risk
   - ❑ Controlling Risk
   - ❑ Accepting Risk
   - ❑ Transferring Risk

Explanation: *Transferring Risk*

By purchasing disability insurance coverage, Conrad transfers the financial responsibility for the risk to an insurance company.

Life Insurance Terminology

Learning Objective

Define basic insurance terminology.

Insurance

Insurance is a method for transferring risk from an individual to an insurance company.

An insurer that accepts a risk makes a promise to pay an amount of money (the policy benefit) if a certain loss occurs.

In exchange for this promise, the person buying the insurance pays an amount of money, or premium, to the insurer.

What is Life Insurance?

So now you can probably guess what life insurance is:

A promise to pay money (a policy benefit) when the person named in the policy dies.

For example, Barbara Allen bought a $500,000 insurance policy on her life from Best Life Insurance Company. If Barbara dies while the policy is in force, Best will pay $500,000 to Barbara's husband, Bob.

Life insurance protects against the financial consequences of dying, especially dying earlier than expected.

Financial consequences of death include the deceased person's

- Lost future income
- Funeral expenses
- Final medical expenses
- Unpaid debts

Risk Pooling

Insurance is based on the concept of risk pooling (gộp rủi ro).

People who face the risk of a particular loss (tổn thất cụ thể)—like the financial loss associated with death—transfer this risk to an insurance company.

Insurers collect premiums from all insured people and spread the cost (phân tán chi phí) of the relatively few anticipated losses (số lượng tổn thất dự kiến tương đối) among all insureds.

What is an Annuity?

Like dying too soon, living too long—or longer than expected—carries a financial risk.

Most of us don't consider living a long life to be risky, but what would you do if you ran out of money while you were still alive?

Annuities

This risk of outliving your assets is real. People can transfer this risk to an insurer by purchasing an annuity and receiving a promise of periodic payments for a set period or for life. Some annuities provide income for the rest of a person's life, no matter how long that is.

For example, Wladimir Dobrzynski might purchase an annuity that will provide monthly payments of $1,000 to him for 20 years, with the understanding that if he lives another 30 years, he will have to survive 10 years without that source of income. Or he might purchase an annuity that provides monthly payments of $500 for the rest of his life, regardless of how long he lives.

Let's Review

Identify the type of insurance product that each person can use to address his needs.

1. *Minh wants to provide her family with a source of income that they can use if she dies.*
   - ❑ *Annuity*
   - ❑ *Life Insurance*

Answer: Life Insurance

2. *Isaiah wants to make sure that he has a monthly income once he retires.*
   - ❑ *Annuity*

- ❑ *Life Insurance*

Answer: Annuity

Basic Insurance Terminology

Read the dialogue and recap Hector and Maria's situation:

Hector:

So I'm the applicant, right?

John:

Yes, you're the person applying for this policy. You actually serve a lot of roles. Since you'll own the policy, you'll be the policyowner. And, since we're insuring your life, you are also the insured.

Hector

The money would go to my wife Maria. That makes her the beneficiary, right?

John

That's right!

John

I'm really glad you decided to take out a policy on Maria, too. You'd need something to replace her income if something happened to her.

Hector

Who fills all of the roles for Maria's policy?

John

You're still the applicant, and you'll be the policyowner. Since you'll own the policy on Maria's life, her policy is known as a third-party policy, and you're the third party.

Hector

OK, I got it.

John

Maria will have to sign a statement saying that it's okay with her that you purchase this policy. Now, you tell me—who is the insured and who's the beneficiary?

Insurance Policy on Hector's Life

Applicant: Hector

Policyowner: Hector

Insured: Hector

Beneficiary: Maria

Third-party policy? No

Insurance Policy on Maria's Life

Applicant: Hector

Policyowner: Hector

Insured: Maria

Beneficiary: Hector

Third-party policy? Yes

The applicant is usually the policyowner. This is true for both policies.

The policyowner and the insured (policyowner-insured) are often the same person. This is true for the policy insuring Hector

When a covered loss occurs, the beneficiary files a claim with the insurance company, requesting payment under the terms of the policy

Let's review

Identify the term that is being defined.

1. The person or entity that applies for an insurance policy.
   - ❑ Applicant
   - ❑ Beneficiary
   - ❑ Insured
   - ❑ Policyowner
   - ❑ Third-Party Policy

Answer: Applicant

2. The person or entity that owns the insurance policy.
   - ❑ Applicant
   - ❑ Beneficiary
   - ❑ Insured
   - ❑ Policyowner
   - ❑ Third-Party Policy

Answer: Policyowner

3. The person whose life, health, or property is insured under the policy.
   - ❑ Applicant
   - ❑ Beneficiary
   - ❑ Insured
   - ❑ Policyowner
   - ❑ Third-Party Policy

Answer: Insured

4. The person or party the policyowner names to receive the life insurance policy benefit.
   - ❑ Applicant
   - ❑ Beneficiary
   - ❑ Insured
   - ❑ Policyowner
   - ❑ Third-Party Policy

Answer: Beneficiary

5. A policy purchased by one person or entity on the life of another person.
   - ❑ Applicant
   - ❑ Beneficiary
   - ❑ Insured
   - ❑ Policyowner
   - ❑ Third-Party Policy

Answer: Third-Party Policy

6. Brad Lischka purchases a life insurance policy covering the life of his wife Cathy. He names their son, Nicholas, to receive the policy benefit if Cathy dies. Match the people with their roles.

   Brad purchased the policy so he would be considered the _____.
   - ❑ Policyowner
   - ❑ Beneficiary
   - ❑ Insured

Answer: Policyowner

Cathy would be the _____.

- ❑ Policyowner
- ❑ Beneficiary
- ❑ Insured

Answer: Insured

If Cathy dies the policy benefit would go to their son, Nicholas, the _____.

- ❑ Policyowner
- ❑ Beneficiary
- ❑ Insured

Answer: Beneficiary

Insurable risks

Learning Objective

Describe the characteristics of insurable risks.

What do you think?

Monica Hardwick has an old car and wants a new one, so she plans to push her car down a hill into a lake. Is this an insurable loss?

- ❑ *Yes*
- ❑ *No*
- ❑ *Can't tell. Need more information.*

Answer: No

Explanation: To be insurable, a loss must occur by chance, which means it is either caused by an unexpected event or not intentionally caused by the insured person.

What do you think?

To be insurable, a loss must be:

- ❑ *Indefinite in terms of time and amount*
- ❑ *Definite in terms of time and amount*

Answer: Definite in terms of time and amount

Explanation: An insurable loss must be definite in terms of time and amount. The insurer must be able to determine when to pay policy benefits and how much those benefits should be. The policy language controls how the insurer will determine the benefit amount, and whether the policy is considered a contract of indemnity (hợp đồng bồi thường) or a valued contract. (hợp đồng định giá).

Contract of Indemnity vs. Valued Contract

Most insurance policies, other than life insurance policies, are contracts of indemnity which base benefits on the actual amount of the financial loss that results from a covered event when it occurs, subject to maximum limits.

Most life insurance policies are valued contracts, which state the benefit payable at the time of policy issue.

This benefit amount is the policy's face amount (face value) because it is listed on the face, or first, page of a life insurance policy.

Let's review

1. Karen Bell has individual medical expense insurance (bảo hiểm chi phí y tế). When she broke her leg, her insurance company paid a benefit for her medical expenses. Do you think the insurer based the amount of the benefit on an amount stated in her policy or on the actual cost of her medical care?
   - ❑ An exact amount stated in Karen's policy
   - ❑ The actual cost of Karen's medical expenses

Answer: The actual cost of Karen's medical expenses

Explanation: Most health insurance policies are contracts of indemnity and base benefits on the actual amount of the financial loss for a covered event when it occurs, subject to maximum limits stated in the policies.

2. Charlie Crittenden is the policyowner-insured of a $100,000 life insurance policy. Charlie became sick and died from his illness while the policy was in force. The insurance company paid a death benefit to his wife. What did the insurance company use as the basis for the death benefit?
   - ❑ The policy's $100,000 face amount (số tiền ghi trên hợp đồng)
   - ❑ The actual cost of Charlie's final medical and funeral expenses

Answer: The policy's $100,000 face amount

Explanation: Most life insurance policies are valued contracts, which state at the time of policy issue the amount of the benefit payable when the insured person dies.

What do you think?

1. *Harold Monroe would like to buy insurance on his rake, in case he breaks it. Do you think his rake is insurable?*
   - ❑ *Yes*
   - ❑ *No*
   - ❑ *Can't tell. No more information*

Answer: No

Explanation: Insignificant losses (tổn thất nhỏ) are not normally insurable. The high expense of paying benefits for very small losses would make the cost of insurance too expensive.

On the other hand, a loss that is significant (tổn thất lớn) enough to cause financial hardship (khó khăn tài chính) usually is considered insurable.

2. *Insurers look at the loss rate—the frequency of losses—when determining whether a risk is insurable. To be insurable, the loss rate must be...*
   - ❑ *Predictable*
   - ❑ *Unpredictable*

Answer: Predictable

Explanation: An insurer must be able to predict the probable rate of loss—the loss rate—that a group of insureds will experience otherwise they wouldn't know how much to charge each person for the coverage. Insurers predict the loss rate by predicting the number and timing of covered losses for that group.

Law of Large Numbers

How does a life insurer determine the loss rate?

Insurers look at past events to predict the likelihood of future losses for a given group. The larger the group, the more accurate the insurer's loss rate predictions are likely to be. This is true because of a concept called the law of large numbers.

The law of large numbers states that, typically, the more times you observe a particular event, the more likely it is that the observed results will approximate the true probability that the event will occur.

What do you think?

To be insurable, a loss...

- ❑ MUST be catastrophic to insurer
- ❑ MUST NOT be catastrophic to the insurer

Answer: MUST NOT be catastrophic to the insurer

Explanation: If a single event would cause catastrophic financial damage to the insurer, the loss isn't insurable.

To reduce the possibility of catastrophic loss, insurers transfer some risk to other insurers by purchasing insurance for themselves.

Reinsurance

Reinsurance (tái bảo hiểm) is insurance for insurance companies.

Each insurer establishes a retention limit (giới hạn giữ lại)—the maximum amount of risk the insurer is willing to carry at its own risk. For example, a life insurance company may determine that it will only insure up to $500,000 on any one life.

Reinsurance allows the insurer—the direct writer (công ty bảo hiểm gốc) or ceding company (công ty chuyển nhượng)—to transfer (cede) risk above its retention limit to a reinsurer (công ty tái bảo hiểm) or assuming company (công ty nhận rủi ro). The reinsurer can accept all of the transferred risk, or it can cede some of the risk to a second reinsurer, known as a retrocessionaire (công ty tái bảo hiểm thứ hai)

Let's review

1. Select the statements that would describe being insurable.(Select all that apply.)
   - ❑ The risk must be a pure risk
   - ❑ The risk must be a speculative risk
   - ❑ The loss must occur by chance
   - ❑ The loss must not occur by chance
   - ❑ The loss must be indefinite in time & amount
   - ❑ The loss must be definite in time & amount
   - ❑ The loss must be insignificant
   - ❑ The loss must be significant
   - ❑ The loss rate must be predictable
   - ❑ The loss rate must be unpredictable
   - ❑ The loss cannot be catastrophic to the insurer
   - ❑ The loss must be catastrophic to the insurer

Answer:

- The risk must be a pure risk
- The loss must occur by chance
- The loss must be definite in time & amount

- *The loss must be significant*
- *The loss rate must be predictable*
- *The loss cannot be catastrophic to the insurer*

2. *Robert Smith owns a life insurance policy that will pay his named beneficiary $250,000 when Robert dies. Is his insurance policy an example of a valued contact or a contract of indemnity?*
   - ❑ *Valued contract*
   - ❑ *Contract of indemnity*

Answer: Valued contract

Explanation: Robert's contract is a valued contract because it states at the time of policy issue the amount of the benefit payable when the insured dies. By contrast, a contract of indemnity bases the insurance benefit on the actual amount of the financial loss for a covered event when it occurs.

3. *The Colonnade Insurance Company issued a $1 million life insurance policy to Albert Goldin. Colonnade transferred $500,000 of the risk to the Fairness Insurance Company. Fairness accepted the $500,000 and then transferred $300,000 of the risk to the Journey Financial Services Company. Match each participant with the term that best describes it.*

Colonade Insurance Company is the _____.

- ❑ *Direct Writer*
- ❑ *Reinsurer*
- ❑ *Retrocessionaire*

Answer: Direct Writer

Explanation: Colonnade is the direct writer; it issued the policy.

Fairness Insurance Company is the _____.

- ❑ *Direct Writer*
- ❑ *Reinsurer*
- ❑ *Retrocessionaire*

Answer: Reinsurer

Explanation: Fairness is a reinsurer; it accepted risk from a direct writer.

Journey Financial Services Company is the _____.

- ❑ *Direct Writer*
- ❑ *Reinsurer*
- ❑ *Retrocessionaire*

Answer: Retroccestionaire

Explanation: Journey is a retrocessionaire; it accepted risk from a reinsurer.

Underwriters and Underwriting

Learning Objective

Explain the role of underwriters and how they assess specific risks.

After customer fills out the life insurance application , the application goes to Insurance Company's underwriting department where its underwriters

perform underwriting by reviewing the application and classifying the degree of risk the customer presents.

What do underwriters look for? Anything that may increase the amount of risk that the customer presents to the insurance company. Underwriters search for anything that makes them say "Uh-Oh."

What do you think?

Suppose YOU are the underwriter at the Insurance Company.

1. What would you think if you learned that customer's family history (tiền sử gia đình) showed a high incidence (tỷ lệ cao) of heart disease (bệnh tim) that led to an early death (tử vong sớm)?
   - ❑ Uh-Oh
   - ❑ No problem

Answer: Uh-Oh

Explanation: A family history of heart disease is a medical risk factor. the customer would have a greater likelihood of dying sooner than would a person of the same age and sex who does not have a family history of heart disease. Other risk factors may involve a person's unstable finances, hazardous job, or dangerous personal activities or hobbies.

2. What would you think if you learned that Hector was once convicted of a felony (kết án trọng tội)?
   - ❑ Uh-Oh
   - ❑ No problem

Answer: Uh-Oh

Explanation: Moral hazard (rủi ro đạo đức) is the possibility that a person may act dishonestly in an insurance transaction. If Hector has had a history of illegal (bất hợp pháp) or unethical (phi đạo đức) behavior, he could behave similarly when buying insurance.

Antiselection

Underwriters must investigate the information on insurance applications carefully because of the likelihood that people who need insurance more are more likely to apply for insurance, a tendency called antiselection (lựa chọn bất lợi).

Ideally, insurers want to accept applicants who are low or average risks.

Let's review

Harold Swenson's insurance application indicates that he works on a commercial fishing boat, which is generally regarded as a more dangerous profession than average. Do you think an underwriter would consider Harold's occupation as a risk factor that is likely to increase his likelihood of loss?

- ❑ Yes
- ❑ No

Answer: Yes

Explanation: Harold's job presents a risk factor because it might increase his likelihood of loss. Other risk factors include dangerous hobbies, alcohol or substance abuse (lạm dụng rượu hoặc chất kích thích), or an adverse medical history (tiền sử bệnh lý bất lợi).

So these "Uh-Ohs" would disqualify (loại) someone for life insurance, right?

Risk Class

Not necessarily, but Seashore's underwriters will carefully consider Hector's situation before assigning him to a risk class—a grouping of similar-risk insureds.

Insurers use risk classes to decide how much to charge each person for coverage. People in different risk classes are charged different premiums based on the degree of risk they represent to the insurer.

Classifying Risks

If insurers charged everyone the same amount, lower-risk people would pay too much for their coverage, and higher-risk people would pay too little.

By assigning proposed insureds to risk classes, the insurer charges a fair amount for each policy.

Let's review

What is the purpose of assigning proposed insureds to risk classes?

- ❑ To make sure everyone pays the same amount for life insurance
- ❑ To make sure everyone pays a fair amount for their life insurance
- ❑ To increase the effect of antiselection

Answer: To make sure everyone pays a fair amount for their life insurance

Explanation: By assigning each proposed insured to an appropriate risk class, the insurer charges a fair amount for each policy. Insurers try to avoid, not increase, the effect of antiselection, which is the tendency of people who are

higher risks to seek insurance protection to a greater extent than those who are lower risks.

Risk Classes

Learning Objective

Identify four risk classes for proposed insureds.

Individual life insurers usually identify at least four risk classes for proposed insureds.

Standard (rủi ro tiêu chuẩn)

Insurers classify proposed insureds whose likelihood of loss is not significantly greater than average as standard risks. The insurance company charges its standard premium rates.

Most life insurance policies are issued at standard premium rates (mức phí bảo hiểm tiêu chuẩn).

Preferred (rủi ro ưu đãi)

Insurers classify proposed insureds whose likelihood of loss is significantly lower than average as preferred risks.

The insurance company charges these insureds preferred premium rates, which are lower than standard premium rates.

Substandard (rủi ro dưới chuẩn)

Insurers classify proposed insureds whose likelihood of loss is significantly greater than average as substandard risks.

The insurance company charges them substandard premium rates, which are higher than standard premium rates.

Declined (rủi ro bị từ chối)

Some proposed insureds present a risk that is too great for the insurer to cover. This might include people with a poor health history or those who engage in exceptionally risky activities, such as sky diving or mountain climbing.

These proposed insureds are known as declined risks.

Let's review

The Hillside Insurance Company recently evaluated four applicants for insurance. Read each question and match the person with the term that best describes an appropriate underwriting decision.

Jason is in good health and is a test pilot for the military. Some of his maneuvers include flying inverted, rolling the aircraft, and putting the aircraft in a dive.

- ❑ Standard risk class
- ❑ Preferred risk class
- ❑ Substandard risk class
- ❑ Declined risk class

Answer: Declined risk class

Explanation: Some proposed insureds present a risk that is too great for the insurer to cover--known as declined risks. This might include people who engage in exceptionally risky activities, including being a test pilot. Jason is classified as a declined risk.

Melinda is in good health and is a recent college graduate. She works as a data analyst.

- ❑ Standard risk class
- ❑ Preferred risk class
- ❑ Substandard risk class
- ❑ Declined risk class

Answer: Standard risk class

Explanation: Insurers classify proposed insureds whose likelihood of loss is not significantly greater than average as standard risks. As a person in good health and a non-dangerous occupation, Melinda is classified as a standard risk.

Roberto is in excellent health. He maintains his health through diet and exercise.

- ❑ Standard risk class
- ❑ Preferred risk class
- ❑ Substandard risk class
- ❑ Declined risk class

Answer: Preferred risk class

Explanation: Insurers classify proposed insureds whose likelihood of loss is significantly lower than average as preferred risks. As someone who maintains his excellent health, Roberto is classified as a preferred risk.

Yolanda has had asthma for 10 years. Otherwise, she is in good health.

- ❑ Standard risk class
- ❑ Preferred risk class
- ❑ Substandard risk class
- ❑ Declined risk class

Answer: Substandard risk class

Explanation: Insurers classify proposed insureds whose likelihood of loss is significantly greater than average as substandard risks. Because of her asthma, Yolanda is classified as a substandard risk.

If a risk has all these characteristics AND if the underwriters approve the application, is the risk then insurable?

Not quite. Underwriters have to verify that you need the coverage and can afford to pay for it. They also need to verify that the policyowner will suffer a genuine loss (tổn thất tài chính thật sự) if the insured person dies. We call this having an insurable interest (quyền lợi được bảo hiểm) in the risk insured.

Laws in most jurisdictions (khu vực pháp lý) require insurable interest to be present at policy issue. This prevents people from buying insurance as a wager (cá cược), hoping to profit when they have no risk of financial loss.

So, is insurance really Risky Business?

Not really. Insurance relieves the customer of risk.

Insurers expertly manage risks through the techniques we discussed:

Risk pooling

Careful underwriting

The ability to predict losses

Reinsurance

Let's review

When evaluating an application, underwriters prefer the presence of insurable interest between the policyowner and insured, but they don't require insurable interest to issue the policy.

- ❑ True
- ❑ False

Answer: False

Explanation: Laws in most states require insurable interest to be present at policy issue to prevent people from buying insurance to wager on other people's lives.